UTEP CENTER FOR FREE ENTERPRISE
WOODY L. HUNT COLLEGE OF BUSINESS

PERSONAL FINANCIAL LITERACY · SESSION 1 TAKEAWAYS

Budgeting, Saving, Debt, and Credit

What to remember, and what to do this week

Big ideas

1. **Budget your net pay.**
   Plan with what actually lands in your account, not your salary. Doing gig work? Set aside 20–30% for taxes as you earn it.
2. **Give every dollar a job.**
   New to budgeting? Start with 50/30/20: needs, wants, savings.
3. **Emergency fund first.**
   Start with $500, then build toward 3–6 months of expenses, kept apart from checking.
4. **Debt is a tool; interest is its price.**
   Know what you are borrowing for, what it costs, and how you will pay it back.
5. **Pay the full card balance every month.**
   The minimum payment is set low on purpose. It keeps you in debt and paying interest.
6. **Your credit score is a habit, not luck.**
   Pay on time, every time, and keep balances low. Check your credit report once a year.
7. **Scammers target new earners.**
   Never send money or personal information to someone you have not met. Never click a "your bank" link.
8. **Insurance protects what you build.**
   You trade a small, predictable cost for protection against a large, unpredictable one.

Numbers to remember

50/30/20	Needs / wants / savings and extra debt payments, as a share of take-home pay
3–6	Months of living expenses to hold in your emergency fund
35%	Weight of payment history in your FICO score, the largest single factor
<30%	Keep card balances under 30% of your limit; under 10% is even better

Do this week

- [ ] Write down every purchase for 7 days.
- [ ] Sort them into needs, wants, and savings.
- [ ] Name one savings goal: an amount and a date.
- [ ] Talk with your parents about bank accounts: checking, savings, and fees.
- [ ] Got a paycheck? Read your pay stub line by line.

TRY IT

Free calculators, no sign-up

Budget Simulator, Saving for a Goal, Credit Cards, Credit Score Explorer

center-for-free-enterprise.github.io/PFL